

In 1928, however, the directors determined to put an end to these heavy carrying charges and succeeded in selling the unused pipe line for a substantial sum of money. Thereafter, the stockholders received special cash distributions aggregating \$72 per share (nearly twice the average market price for 1926 and 1927), and they still retained ownership of a profitable business which resumed regular dividends. Even if no money had been realized from the idle property, its mere abandonment would have led to a considerable increase in the value of the shares.

This is an impressive, if somewhat extreme, example of the practical utility of security analysis in detecting discrepancies between intrinsic value and market price. It is customary to refer with great respect to the "bloodless verdict of the market place," as though it represented invariably the composite judgment of countless shrewd, informed and calculating minds. Very frequently, however, these appraisals are based on mob psychology, on faulty reasoning, and on the most superficial examination of inadequate information. The analyst, on his side, is usually unable to apply his technique effectively to correcting or taking advantage of these popular errors, for the reason that surrounding conditions change so rapidly that his own conclusions may become inapplicable before he can profit by them. But in the exceptional case, as illustrated by our last example, the facts and the logic of the case may be sharply enough defined to warrant a high degree of confidence in the practical value of his analysis.

Deferred Charges. A business sometimes incurs expenses that may fairly be considered as applicable to a number of years following rather than to the single 12-month period in which the outlay was made. Under this heading might be included the following:

- Organization expense (legal fees, etc.).

- Moving expenses.

- Development expenses (for new products or processes, also for opening up a mine, etc.).

- Discount on obligations sold.

Under approved accounting methods such costs are spread over an appropriate period of years. The amount involved is entered upon the balance sheet as a Deferred Charge, which is written off by annual charges against earnings. In the case of bond-discount the period is fixed by the life of the issue; mine development expenses are similarly prorated